

Group work set 3: Behavioral Economics

Q1. A criminal judge had a strange dream. In his dream, he saw a 3-digit number that kept flashing before his eyes. He couldn't quite make out the number, but it seemed important somehow. The next day, the judge was called upon to adjudicate a case involving a man accused of stealing food from a supermarket on a Monday morning. The judge remembered that he had heard about many such thefts in recent months, and was determined to see that justice was served. One witness testified that he saw a man with a purple beard - the same kind that the defendant had - entering the supermarket. Another witness testified that 90% of thieves have a purple beard, and that 1 out of 1000 purple-bearded individuals pass by supermarkets on Mondays. The judge listened carefully to the evidence and considered the facts. He then wrote the following verdict: "I convict the defendant and sentence him to 100 years in prison. It is clear that the defendant robbed the supermarket, as he has a purple beard." Which behavioral biases might explain the judge's decision?

Q2. The government wants to stop people from using YouTube videos. They are trying to decide between several options:

- (i) Imposing a tax on watching YouTube
- (ii) Sending everyone a letter saying "75% of people watch YouTube, you won't be like them right?"
- (iii) Sending everyone an SMS saying "YouTube is bad for you personally, because you could be spending time with your Family instead"

Which of these options would work better? Consider both a traditional and a behavioral economics perspective

Q3. Larry sends a letter to his wife saying "We are now married, and therefore if you divorce me you will suffer, as it will be a loss for you: you will be losing the house as well as me. I know this, because our marriage is a typical marriage and also because our friends never divorced". Larry believes this will be highly effective from a behavioral L&E perspective. Is he right? Which biases is he trying to invoke and how?